

Conflicts of Interest Management Policy

Policy applicable to:

CIPL	OC	Vertium	Chester
Yes	Yes	Yes	Yes

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Contents

1. Purpose	3
2. Application	3
3. Relevant Law	3
4. Key Points.....	3
5. Procedures	4
6. Managing conflicts of interests	7
6. Related party transactions	8
8. Staff training.....	9
9. Review	9
Appendix 1 – guidance on identification of actual/potential conflicts	10

1. Purpose

Policy principles and procedures for managing conflicts of interests.

2. Application

This policy applies to Copia Investment Partners Ltd (**CIPL**), its related entities and all their directors, employees and relevant contracted service providers (**Applicable Persons**). Related entities include Copia Holding Company Pty Ltd and all its subsidiaries.

3. Relevant Law

Section 912A(1)(aa) *Corporations Act 2001* (**the Act**) requires all Australian Financial Services (**AFS**) licensees to have adequate measures in place to ensure clients are not disadvantaged as a result of conflicts of interests that may arise in the course of engaging in any regulated activities. ASIC has provided guidance on conflicts of interest management in *Regulatory Guide 181: Managing conflicts of interests* (**RG 181**).

4. Key Points

4.1 What is a conflict of interests?

A conflict of interests commonly arises in circumstances where there is a conflict between two different sets of interests in a decision. This typically occurs when a decision maker has two different duties or responsibilities to meet when making a decision. For example, if a board member of an AFS licensee is faced with a decision on a commercial transaction involving their own private company then that person has a conflict between the interests of the licensee and his/her own interests.

If a person has a legal duty to another, as is often the case of AFS licensees to their clients, then they are required to avoid a conflict of interests with that client.

Furthermore, a person who owes a duty to another must not profit from the relationship, unless the person to whom the duty is owed has given their explicit consent to the profit.

Examples of conflicts of interests include where:

1. an employee trades on the knowledge that CIPL is about to purchase shares in a thinly traded stock
2. a company considers how to apply profits and must decide between increasing its employees' benefits and directors' emoluments or paying dividends to its shareholders
3. an investment manager allows certain investors to redeem their investments in projects because the manager is keen to preserve a long term relationship with those people, without offering the same redemption opportunity to for all investors; and
4. an employee's partner is working with CIPL's competitor and the employee passes on confidential information to them.

4.2 Key Elements of the Conflicts of Interests procedure

When a person becomes aware that a potential conflict may exist, they must immediately notify Compliance and their line manager.

CIPL will consider and, if the reported matter is considered a conflict for the purposes of this policy, it will then be recorded in the Conflicts of Interest Register.

Appendix 1 includes a diagram showing how conflicts of interests are identified, documented and reported.

5. Procedures

Conflicts of interests may arise in a wide range circumstances. Given the nature of business transactions, it is often difficult to identify an actual or potential conflict of interests when they occur. A person facing a conflict may not be in a position to identify a conflict of interests because they are focused on an outcome, such as the completion of a transaction, and not on tangential impacts of the transaction on the interests of various stakeholders.

To ensure CIPL is in the best position to identify any conflict of interests, we shall collect information relating to interests and duties and we will impartially review that information to determine whether or not there is or may be a conflict of interests.

5.1 Data collection

All Applicable Persons are required to report into registers maintained in CRS-Certus:

Matter reported	Register
Gifts and benefits provided to the Applicable Person	Gifts & Benefits Register
Gifts and benefits provided to external business parties	Gifts & Benefits Register
All investments held in projects or financial products offered by the CIPL, other contracts and relevant responsibilities	Register of Relevant Interests & Duties
All directorships, committee memberships and employment held inside and outside CIPL	Register of Directors & Committee Members
Conflicts of Interest (both actual and perceived)	Register of Conflicts of Interest

Compliance shall review the registers to ensure that CIPL has recorded all relevant information and to determine whether the information on its face indicates any potential conflicts of interests.

CIPL staff shall be required to complete declarations via the CRS Certus Questionnaire to confirm that they have complied with the above reporting requirements.

5.2 Gifts and Benefits

All gifts and benefits provided to staff may result in bias to favour the person who provides the gift or benefit.

Likewise, gifts and benefits provided to external business parties may cause bias in the decision making of those persons. External business parties include:

1. investors
2. service providers
3. authorities (e.g., Government departments)

Where a gift or benefit is material, that gift or benefit may give rise to corruption if the intention is to induce the receiver to circumvent usual decision making practices in order to gain favour for the giver.

Examples of gifts and benefits include:

- Money
- Securities and interests in other financial products
- Tickets to events (i.e. concerts or sporting events)
- Meals at restaurants
- Art works
- Computers and electronic equipment
- Computer software
- Flights
- Accommodation
- Data services
- Books
- Furnishings
- Jewellery

5.3 Rules

Gifts and benefits may be received where:

- The gift or benefit has a value of less than \$299
- Any gift or benefit offered to an Applicable Person with a value greater than \$299 must be approved by Compliance or, if offered to Compliance, must be approved by a company director

Gifts and benefits made or offered to relatives of, or to a company or trust associated with, an Applicable Person are to be treated as if it were made or offered to the Applicable Person.

Gifts provided by CIPL:

Gifts and benefits provided to external business parties must comply with the Gifts & Benefits Procedure. Any given gift with a value greater than \$299 must be approved by the CFO and the Risk & Compliance Manager.

All gifts and benefits of a value greater than \$150 must be recorded in the Gifts and Benefits Register.

5.4 Relevant Interests

A relevant interest is a holding by an Applicable Person (or their associate) in either a product or service offered by CIPL.

A holding by a relative of, or by a company or trust associated with, an Applicable Person is to be treated as if it were made or offered to the Applicable Person.

The intention is not to dissuade investments by Applicable Persons into products and services offered by the CIPL.

It is possible that situations may arise where an Applicable Person may become conflicted through their investment in a CIPL product or service. For example, if a financial product is performing poorly, a controlling manager who has invested in a product may prefer their personal interests when making operational decisions.

All relevant interests must be advised to Compliance who will then record it in the register.

5.5 Relevant Duties

A relevant duty refers to any legal responsibility held by an Applicable Person to CIPL, our investors or to any other relevant person. A relevant person is another company or body in a similar business to, or which may otherwise be involved with CIPL.

In simple terms, this means that all directorships, committee memberships and employment held outside of the CIPL must be recorded in the Register of Relevant Interests and Duties.

It is an employment requirement that all external positions must be disclosed to either your manager or to the board and approval granted before you may assume the role.

In recording these duties, the commencement and cessation dates of the duties or positions must be noted.

All relevant duties must be advised to Compliance who will then record it in the register.

5.6 Business oversight reporting

Some conflicts arise from business initiatives. Examples include:

1. acquiring or selling business assets
2. issuing capital
3. offering co-investment opportunities to existing clients
4. change in business strategy

Typically, a business case will be documented for approval by either the senior management or the board. Business cases should identify risks, including any risk from conflicts of interests.

Where a conflict of interest risk has been identified, the responsible management must report the conflict to Compliance who will include it in the Conflicts Register and refer it to the Chief Financial Officer for consideration at board level.

Compliance is available to discuss any potential conflicts, whether conflicts should be managed or avoided and how decisions should be documented to meet the legal requirements.

6. Managing conflicts of interests

CIPL will not engage in conduct that may result in an actual or potential conflict of interest that cannot be adequately controlled.

A conflict cannot be adequately controlled if the matter, after the application of all reasonable internal controls or disclosures, results in either CIPL or an associate of CIPL:

1. breaching a law
2. gaining an unapproved benefit from a client, or
3. which may result in material disadvantage to a client.

All identified conflicts (both perceived and actual) will be documented in the Conflicts Register. The documented conflicts will be assessed and mitigations will be devised by the Chief Financial Officer. Mitigations will be either:

1. application of **Internal Controls**
2. **Disclose** the matter to concerned parties; or
3. **Avoid** the conflict by not taking the action which would have caused it.

Compliance will assist with documenting conflicts, assessments and mitigations in the Conflicts Register.

The Conflicts Register will be tabled with the Board as a standing agenda item.

6.1 Controlling conflicts of interest

Any agreed controls will be recorded in the Conflicts Register alongside the conflict. Where appropriate, the controls will be recorded in CRS-Certus controls register and they will be added to the controls self-assessment system for regular confirmation on the application of the controls.

6.2 Disclosing conflicts of interest

Some potential conflicts may be treated by disclosure. By disclosing a potential conflict of interest, the relevant person may consider the conflict before making a decision and allow affected parties to, for example, raise objections or arrange to manage the conflict.

It may not be possible to cure a conflict of interest by disclosing a matter after a decision has been made.

Any disclosures must:

- be timely, prominent, specific and meaningful to the person
- occur before a decision is made, and

C IPL will consider the following factors in assessing whether disclosure of a conflict of interest is an effective way to manage a conflict of interests:

- the risk of proceeding with a transaction in circumstances where there is a conflict of interests
- the effected person's sophistication and knowledge of the specific conflict, and
- the extent to which other persons are likely to rely, directly or indirectly, on matter related to the conflict

6.3 Avoiding conflicts of interest

Where it is not possible to control a conflict of interest then that activity will be avoided. This action will be recorded in the Conflicts Register alongside the relevant conflict.

6. Related party transactions

Related party transactions are a special circumstance that give rise to a conflict of interest. The Act regulates these transactions.

Related party transactions may involve either property or interests held by:

1. C IPL (including any subsidiary companies if applicable), or
2. C IPL on trust (i.e., property of a managed investments scheme).

Any conflict arising from a related party transaction may be addressed by seeking approval of the shareholders of the relevant companies involved. If the proposed transaction involves a trust or scheme, then approval may be sought of the members of the relevant trust or scheme.

The circumstances where the C IPL will consider putting the terms of a related party transaction to members/shareholders may include the following:

- where the overriding aim of the transaction is in the best interests of the members/shareholders
- Where the transaction may not be at arm's length, but the terms are generally consistent with similar transactions with third parties
- where the transaction is conducted in accordance with the constitution of the scheme, or company, the Act and any other applicable policy; or
- any other circumstances where the Board sees fit (e.g., where the Board has received two market quotes for provision of a service by independent third parties or has received an independent expert's advice as to the reasonableness of a transaction prior to the Board determining to enter into the related party transaction).

The Act provides a number of statutory exceptions for related party transactions where member/shareholder approval is not required:

- transactions are on arm's length terms or are on terms that are less favourable than arm's length
- If the benefit is a payment of expenses incurred or to be incurred, or reimbursement for expenses incurred, by a related party in performing duties as an Applicable Person (or a related entity) and the benefit is reasonable in the circumstances

- payment of remuneration to the Applicable Person (or a related entity) which is reasonable in the circumstances
- payment of indemnities, exemptions and insurance premiums and payment for legal costs for officers of CIPL in respect of their positions as officers and the payment is reasonable in the circumstances
- benefits given to related parties in their capacity as shareholders of a public company, provided that the benefit does not discriminate unfairly against the other shareholders of the public company
- financial benefits given under a Court order; or
- transactions carried out pursuant to an existing agreement which has been approved in accordance with the Act and this procedure.

The Chief Financial Officer and Compliance may determine that a transaction fits within one of the exemptions above, as approved by the Board, where appropriate.

Where the Board resolves that member or shareholder approval is not required because the transaction fits into one of the exemptions above, then the board will ensure its considerations and resolutions are accurately minuted.

All related party transactions will be recorded in the Related Party Register located in CRS-Certus.

8. Staff training

Training will be provided on this Policy. The training must be recorded by Staff in the CIPL's training register.

9. Review

This procedure will be reviewed by the board every 3 years or earlier if there is change in legislation.

Appendix 1 – guidance on identification of actual/potential conflicts

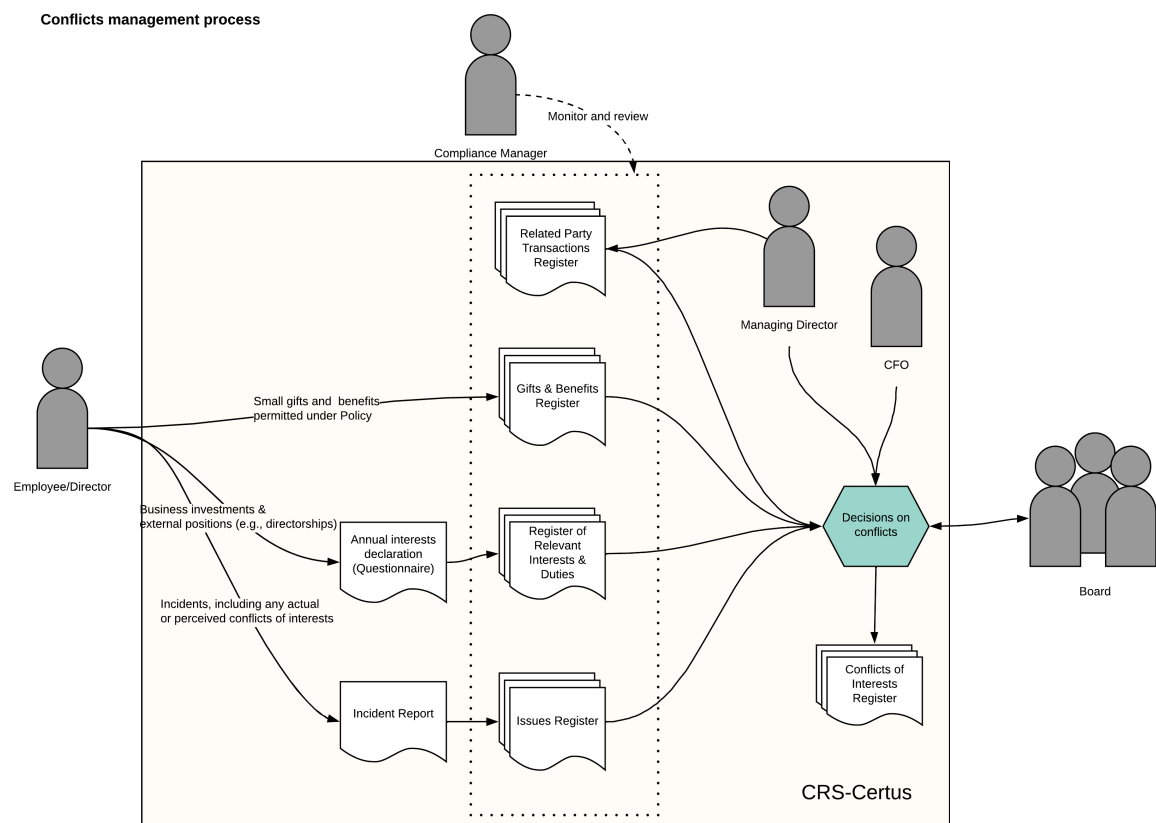


Diagram showing the process for capturing information that may possibly indicate an actual or perceived conflict of interest.

- i relevant information will be collected in the Conflicts of Interests Register duties (including any authorised representatives)
- ii the Conflicts of Interests Register will be used to inform the board of circumstances that may give rise to a conflict of interests
- iii Compliance shall have oversight of the management of conflicts of interests. This involves:
 - maintaining the registers to ensure that they are up to date
 - identifying any circumstances that may give rise to a conflict of interests and ensuring that any issues requiring detailed consideration are referred to the Board
 - considering conflicts of interests as a standing agenda item at each Board meeting; and
 - documenting all consideration and decisions taken to manage or avoid conflicts of interest.